

Private Banking Sales Pitch: Decarbonisation and Net-Zero Portfolio Strategy A disciplined allocation approach for climate-aware investors

As institutional investors, your fiduciary duty requires you to maximize the long-term growth of your capital while immunizing it against systemic risks. Today, the transition to a low-carbon economy is no longer a mere ethical consideration, but an absolute risk management imperative in the face of the massive depreciation threat from stranded assets. The core challenge of your Pacific equity allocation is therefore to aggressively decarbonize your positions without ever altering your overall risk budget or sacrificing the financial performance owed to your beneficiaries.

To meet this dual challenge, we reject traditional approaches based on naive sector exclusion, which destroy diversification and introduce unrewarded risks. Instead, our strategy deploys rigorous quantitative engineering. We construct a portfolio that mathematically minimizes Tracking Error against the global capitalization-weighted market, while fulfilling a strict, dynamic carbon budget. Specifically, we apply a trajectory imposing a systematic 10% annual reduction in the financed carbon footprint of direct emissions, anchored to the 2013 baseline year, thereby guaranteeing an indisputable mathematical alignment with international Net-Zero targets.

The analysis of our out-of-sample backtest, conducted from January 2014 to December 2025, definitively invalidates the dogma of a financial penalty associated with decarbonization. Our Net-Zero trajectory strategy delivered an exceptional annualized return of 7.70%, outperforming the standard market benchmark of 6.72% by nearly 100 basis points. This structural alpha was achieved with remarkable control over relative risk, illustrated by an ex-post Tracking Error contained at just 3.16%. This asymmetrical profile generates a highly positive Information Ratio, proving that the environmental constraint acted as a true efficiency filter without degrading the overall allocation.

However, sophisticated quantitative management demands total transparency regarding the model's structural trade-offs. Achieving these climate targets implies an assumed sector bias: the model mechanically underweights the carbon-intensive old economy, such as Australian mining or Japanese steel, in favor of asset-light sectors like technology and healthcare. We rigorously monitor these deviations to preserve the geographic representativeness of your mandate. Furthermore, the annual tightening of the carbon budget generates a portfolio turnover higher than that of a passive fund, a friction we neutralize through advanced execution algorithms aimed at minimizing transaction costs. Finally, to eliminate the look-ahead bias associated with delays in the publication of corporate carbon reports, our model applies conservative data selection rules, ensuring the perfect reproducibility of the strategy under real market conditions.